Bank of Botswana

Customers Churn Analysis

David Mazgauker and Leonardo Rinaldi

Overview | Balance | Drivers | High Risk | Recommendations

TOPIC

A retail Bank in Botswana lost 12.2% of its customers during the first 7 months of 2024. The report identifies WHO is leaving, WHY, WHEN, HOW MUCH is lost - and which active customers are at risk of leaving next

RESEARCH QUESTIONS

1. How big is our churn problem?
2. Do customers with less money in the bank leave more?
3. Which customer behaviors push churn up the most?
4. Who is most likely to leave, and who can we still save?

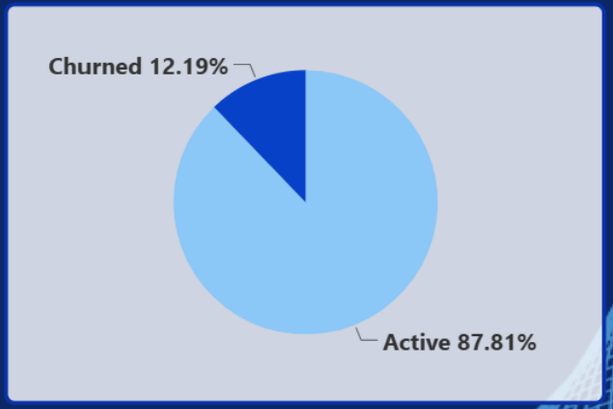
Total Customers	Churned Customers
115,640	14,094

Churn Rate	Balance Lost
12.2%	$390.8M

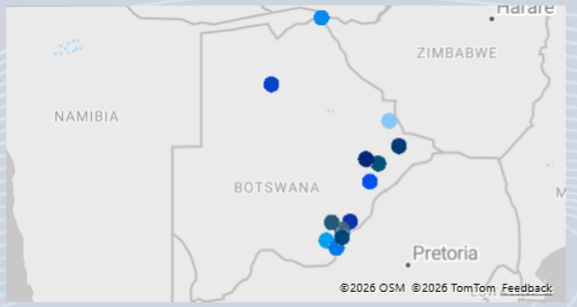
Overview

Notes & insights

A first look at the bank's customer churn, meaning customers who closed their accounts and left. It shows how many customers left, why they left, and where they are based. Use the filters on the left to see how the picture changes for different groups of customers.



Region of Churned Customers



Gender

- Female
- Male

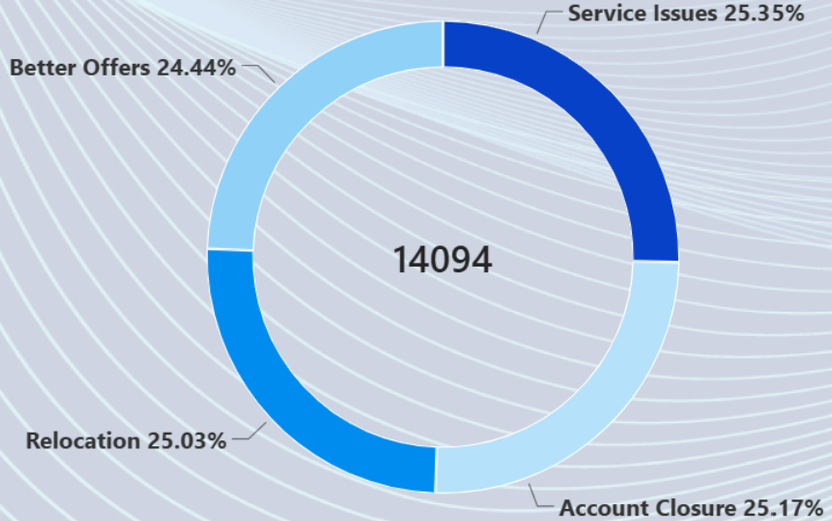
Marital Status

- Divorced
- Married
- Single

Education Level

- Bachelor's
- Diploma
- High School
- Master's

Why customers leave



Region	Number of Customers	Churned Customers	Balance Lost
Francistown	8308	1011	$1,033.0M
Gaborone	8154	1056	$999.8M
Kanye	8180	966	$1,023.5M
Kasane	8174	1022	$1,015.4M
Lobatse	8167	956	$1,020.3M
Mahalapye	8164	963	$1,021.0M
Maun	8338	994	$1,031.7M
Mochudi	8354	993	$1,047.3M
Mogoditshane	8273	1011	$1,028.4M
Molepolole	8423	1025	$1,055.3M
Palapye	8242	997	$1,023.2M
Ramotswa	8192	992	$1,019.6M
Selebi-Phikwe	8410	1052	$1,059.5M
Serowe	8261	1056	$1,035.4M
Total	**115640**	**14094**	**$14,413.3M**

Balance

Active/Churned
- ○ Active
- ○ Churned

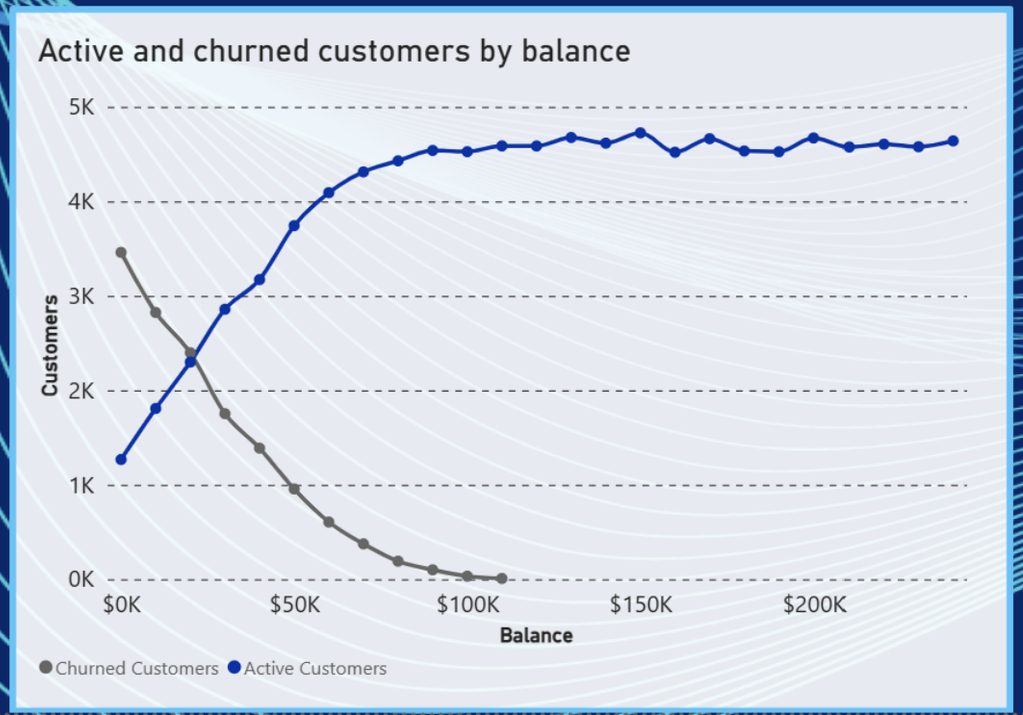
Gender
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- ○ Male

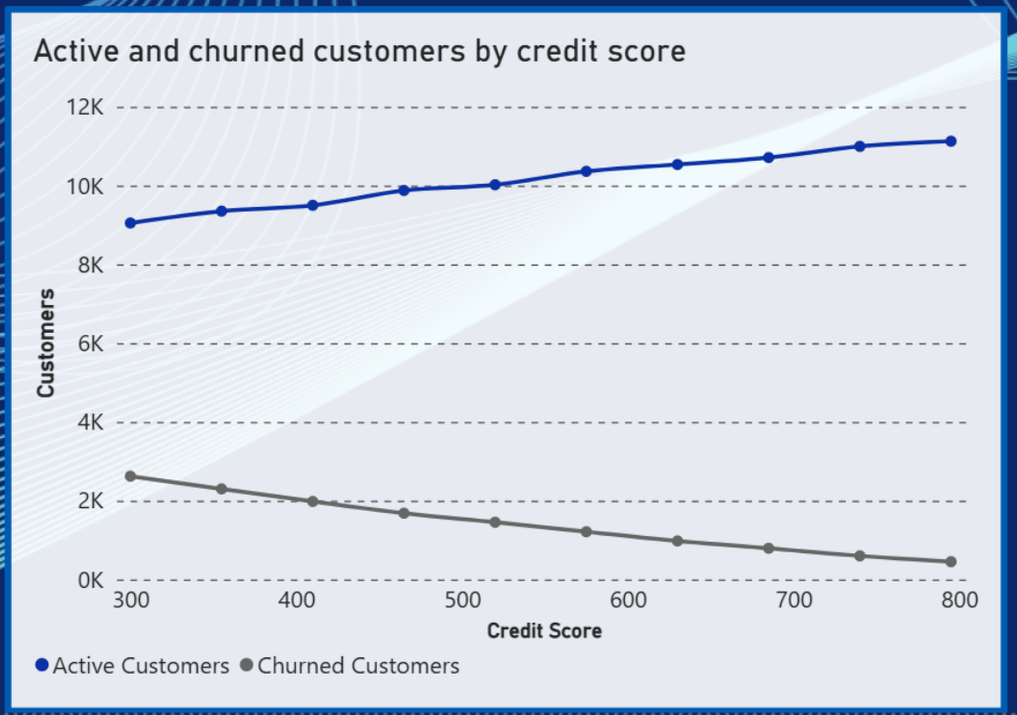
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- ○ Master's

Max of Credit Score	Average of Credit Score	Min of Credit Score
850	574.30	300

Max of Balance	Average of Balance	Min of Balance
$250.0K	$124.6K	$1.1





Drivers

Notes & insights

This compares the share of customers who left across the number of complaints a customer has made and the number of products they hold. In the table, darker blue means a higher churn rate. Use the filters on the left to see the same view for a specific group of customers.

Products means the number of different bank products a customer holds, for example an account, a card or a loan.

Complaints/Products	1	2	3	4	5
10	34.2%	30.3%	23.1%	18.5%	12.0%
9	31.8%	27.0%	21.7%	15.4%	10.8%
8	29.4%	24.1%	18.2%	14.0%	8.7%
7	25.3%	21.3%	17.2%	10.6%	6.4%
6	23.4%	18.7%	13.3%	9.0%	4.2%
5	19.7%	15.3%	10.1%	6.0%	3.1%
4	18.2%	14.7%	8.1%	5.4%	1.7%
3	15.8%	11.6%	5.5%	3.6%	1.2%
2	12.4%	7.8%	4.0%	2.2%	0.6%
1	11.0%	6.2%	2.7%	1.0%	
0	8.0%	5.0%	1.8%	0.3%	

Gender

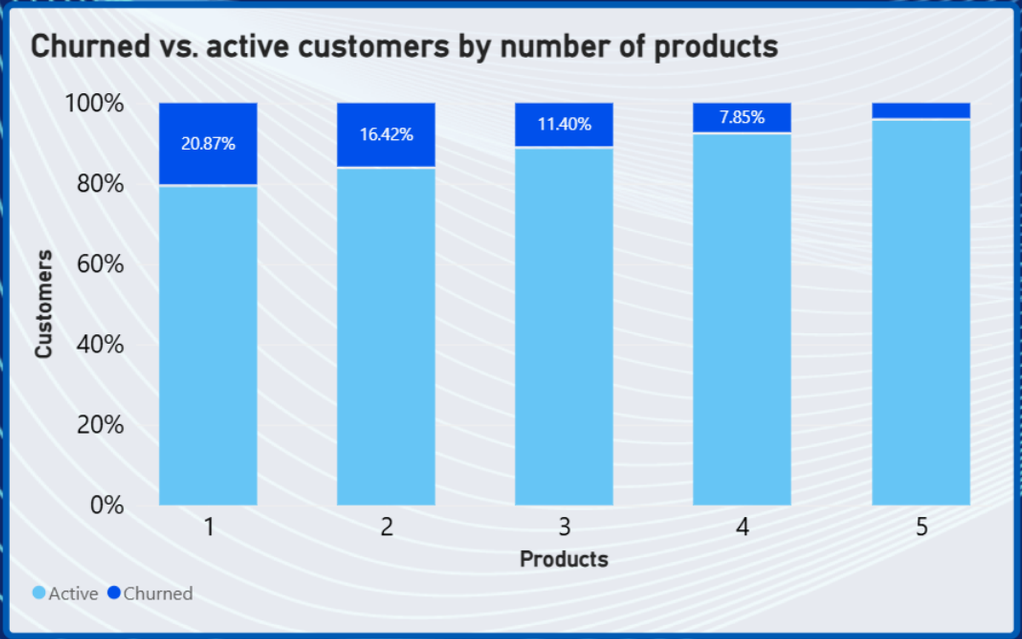
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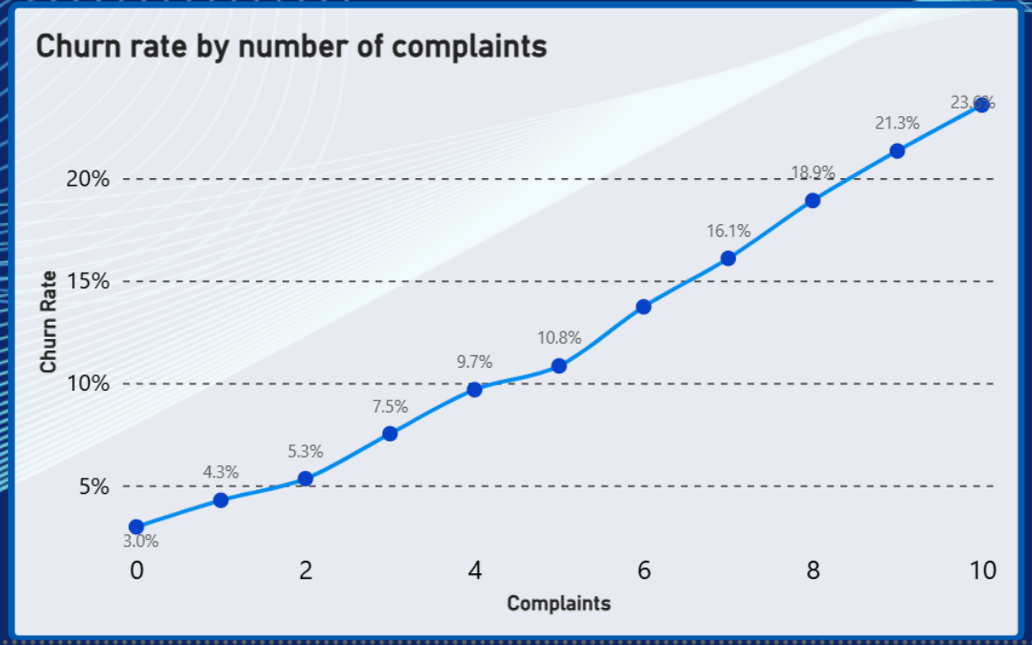
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High Risk Customers

Notes & insights

We conclude that a customer is at risk when they combine several warning signs:

- 8 or more complaints
- Only 1-2 products
- A balance and credit score below the median level.

Customers with this profile have left far more often than the average customer.

The table lists the customers with this profile who are still active, with their balance, credit score, complaints and products. And in the bottom card you have the customer ID for the selected customer.

Number of Complaints

8 | 9 | 10

Number of Products

1 | 2

High Risk Customers

855

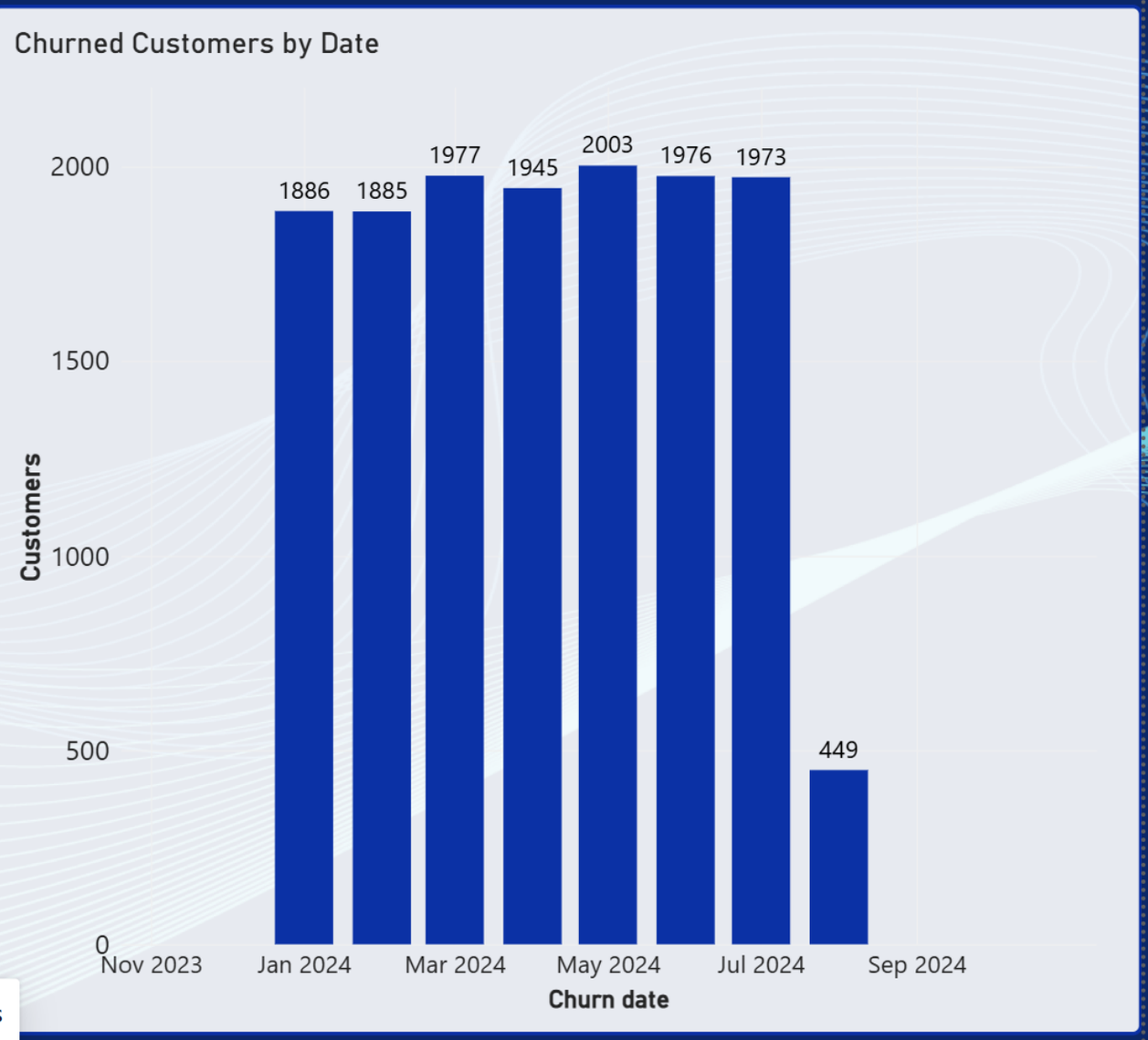
Customer Name	Balance	Credit Score	Complaints	Products
Dawn Lee	$66,225.21	542	8	2
Shane Wilson	$67,131.44	535	8	2
Thomas Kelly	$67,797.97	546	8	2
Megan Barnes	$68,119.14	552	8	2
Jessica Hampton	$68,600.02	498	8	2
Jacqueline Carter	$69,552.95	566	9	2
Henry Henry	$69,619.85	501	8	2
Kenneth Peterson	$69,862.29	522	8	2
Kenneth Brown	$70,010.7	498	8	2
Christopher Watkins	$70,084.74	517	8	2
Michelle Peters	$70,093.26	551	8	2
Raymond Hughes	$70,643.14	512	8	2
Austin Maxwell	$70,985.76	495	8	2

Customer ID

00001320-e5de-473b-9cc1-293902065c15

Recommendations

- **Investigate January–August 2024.**
  All recorded churn occurred during this period. Review changes that started in January, because the data stops at August 7, so we can't say if the problem is already solved, and rule out a recording issue.
- **Focus on low-balance customers.**
  Churn is highest among customers with low balances and nearly disappears above $100K. Create retention offers and engagement programs for this group.
- **Act on complaints early.**
  Customers with 8 or more complaints are at high risk. Escalate and resolve complaints before they reach that level.
- **Increase product ownership.**
  Customers with 2 or fewer products churn more often. Offer relevant savings accounts, cards or loans to strengthen the relationship.
- **Monitor the High Risk group.**
  Identify what these customers need and build a targeted retention plan for them.
- **Stay competitive and improve service.**
  "Better offers" and "Service Issues" are the reasons for churn that are easier to fix. Benchmark rates and fees against competitors regularly and properly train the employees in charge of service.



Recommendations